

Big Business

The Big Idea

The expansion of industry resulted in the growth of big business.

Why It Matters Now

Many of the strategies used today in industry, such as consolidation, have their origins in the late 19th century.

Key Terms and People

Andrew Carnegie

laissez-faire

Social Darwinism

vertical integration

horizontal integration

J. P. Morgan

John D. Rockefeller

trust

monopoly

Sherman Antitrust Act

One American's Story

Born in Scotland to penniless parents, **Andrew Carnegie** came to the United States in 1848 at age 12. Six years later he was the private secretary to the local superintendent of the Pennsylvania Railroad. One morning, Carnegie single-handedly relayed messages that unsnarled a tangle of freight and passenger trains. His boss, Thomas A. Scott, rewarded Carnegie by giving him a chance to buy stock. Carnegie's mother mortgaged the family home to make the purchase possible. Soon Carnegie received his first dividend.

"One morning a white envelope was lying upon my desk, addressed in a big John Hancock hand, to 'Andrew Carnegie, Esquire.' . . . All it contained was a check for ten dollars upon the Gold Exchange Bank of New York. I shall remember that check as long as I live. . . . It gave me the first penny of revenue from capital—something that I had not worked for with the sweat of my brow. 'Eureka!' I cried. 'Here's the goose that lays the golden eggs.'"

—Andrew Carnegie, from
Autobiography of Andrew Carnegie



Nineteenth-century industrialist Andrew Carnegie gave money to build public libraries, hoping to help others write their own rags-to-riches stories.

Andrew Carnegie was one of the first industrial moguls to make his own fortune. His rise from rags to riches made him a model of the American success story.

A Favorable Climate

The economic climate of the United States in the late 1800s was ripe for ambitious individuals like Carnegie to build huge companies and amass great fortunes. Americans of the time believed that a strong work ethic could make someone successful. The business world welcomed new entrepreneurs willing to take risks in search of profits. They were driven by the idea that individuals could better themselves and society through their own efforts.

BELIEF IN FREE MARKETS The positive view of entrepreneurship grew out of the American economic system. The U.S. economy is based on a form of capitalism called free enterprise. As in any capitalist economy, individuals and private businesses run most industries. Companies in some capitalistic countries have to follow strict government policies about pricing and wages. However, those in a free enterprise system are free to set their own. Generally, their decisions are driven by such factors as competition and consumer demand.

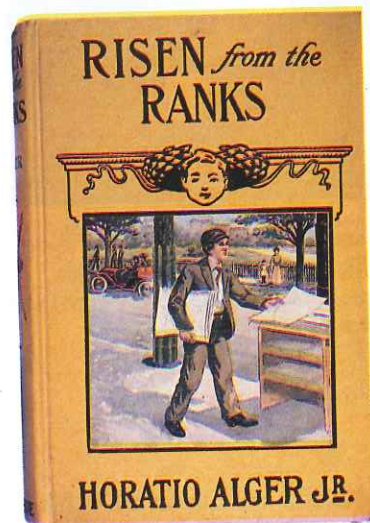
By the late 1800s most business leaders believed in **laissez-faire** (lăs'ă fär') capitalism. The term laissez-faire is French for "to let do." Laissez-faire capitalism allows companies to conduct business without intervention by the government. Business leaders believed that government regulation would destroy individual self-reliance, reduce profits, and harm the economy. And by and large, the government maintained a hands-off attitude toward business.

Even though business owners generally wanted the government to stay away, at times they still turned to the government for help. Some railroad builders, for example, accepted grants of land and money from the government. Hoping to eliminate foreign competition, many business leaders also were in favor of protective tariffs that the government placed on imported goods.

SOCIAL DARWINISM Americans understood that there were inequalities in the free enterprise system. Some people became very rich while others remained very poor. But many thinkers believed that inequalities were part of the social order. To explain why some people prospered and others did not, economists, social philosophers, and business leaders embraced the philosophy of **Social Darwinism**. This philosophy adapted the ideas of the British naturalist Charles Darwin and applied them to human society. Darwin had studied plants and animals and concluded that members of a species compete for survival. Those best adapted to their environment thrive and pass their traits to the next generation. Less-suited members gradually die out. Darwin called this process natural selection.

The English philosopher Herbert Spencer used Darwin's biological theories to explain the evolution of human society. Economists found in Social Darwinism a way to justify the doctrine of laissez-faire. Stronger people, businesses, and nations would prosper. Weaker ones would fail. According to Social Darwinists, the market should not be regulated because no one had the right to interfere with this process.

The premise of the survival and success of the most capable naturally made sense to the 4,000 millionaires who had emerged since the Civil War. Because the theory supported the notion of individual responsibility and



Popular literature promoted the possibility of rags-to-riches success for anyone who was virtuous and hard-working.

Reading Check

Find Main Ideas
What conditions created a favorable climate for business during the late 1800s?

blame, it also appealed to the Protestant work ethic of many Americans. According to Social Darwinism, riches were a sign of God's favor. Therefore the poor must be lazy or inferior people who deserved their lot in life.

Some people found fault with the attitude of the rich toward the working class. Walter Rauschenbusch, a minister who lived among the poor in New York City, said, "Competitive commerce exalts selfishness to the dignity of a moral principle. It pits men against one another in a gladiatorial game in which there is no mercy and in which ninety percent of the combatants finally strew the arena. . . . If the rich had only what they earned, and the poor had all that they earned, . . . Life would be more sane."

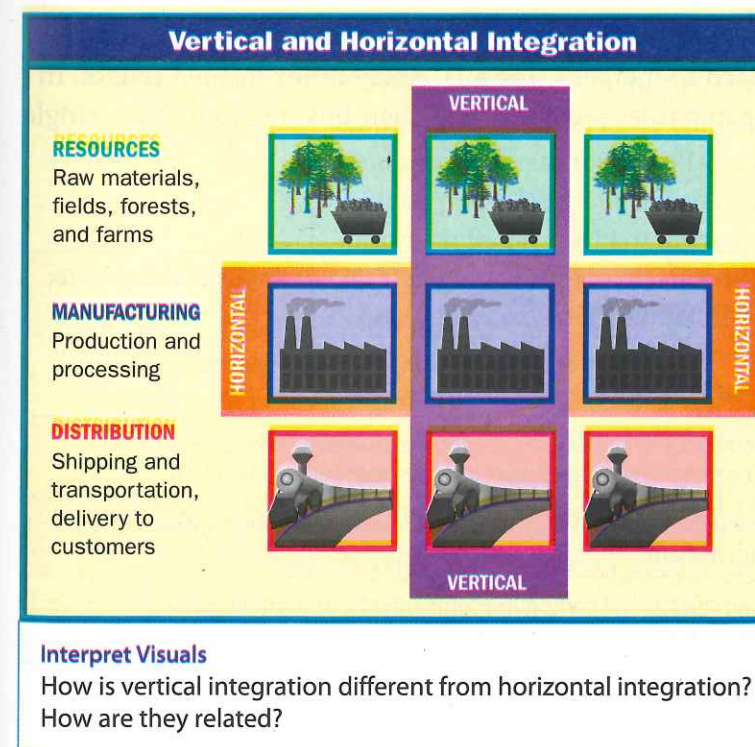
New Business Strategies

Although some entrepreneurs endorsed the "natural law" in theory, in practice many business owners did everything they could to gain dominance. They tried new ways to maximize profits, get rid of competition, and control production. As they did so, business organizations became more and more complex.

MAXIMIZING PROFITS By 1865 Carnegie was so busy managing the money he had earned in dividends that he happily left his job at the Pennsylvania Railroad. He entered the steel business in 1873 after touring a British steel mill and witnessing the awesome spectacle of the Bessemer process in action. By 1899 the Carnegie Steel Company manufactured more steel than all the factories in Great Britain. Carnegie's success was due in part to management practices that he initiated and that soon became widespread. First, he continually searched for ways to make better products more cheaply. He incorporated new machinery and techniques, such as accounting systems that enabled him to track precise costs. Second, he attracted talented people

by offering them stock in the company, and encouraged competition among his assistants.

In addition to improving his own manufacturing operation, Carnegie attempted to control as much of the steel industry as he could. He did this mainly by **vertical integration**. Using this process, he bought out his suppliers—coal fields and iron mines, ore freighters, and railroad lines—in order to control the raw materials and transportation systems. Carnegie also pursued mergers with competing steel producers as a form of **horizontal integration**, a process that joins together companies producing similar products. A merger usually occurred when one corporation bought out the stock of another. Having gained control over his suppliers and having limited his



competition, Carnegie controlled almost the entire steel industry. By the time he sold his business in 1901, Carnegie's companies produced, by far, the largest portion of the nation's steel.

Steel was not the only industry to embrace the business practices that made Carnegie so rich. Chicago meatpackers, for example, used vertical integration to drive their own success. In the 1870s Gustavus Swift, owner of the Swift & Company packing plant, tried to convince railroad manufacturers to build refrigerated boxcars that he could use to ship beef over long distances. The manufacturers refused. So Swift decided to build the cars himself, hiring an engineer to design them, a production company to build them, and a rail line to pull them. Before long he was able to ship meat anywhere in the country, changing the meat industry forever and earning himself a vast fortune. One of Swift's major rivals, Philip Danforth Armour of Armour & Company likewise looked for ways to increase his company's profits. He bought a factory near his packing plant and hired scientists to research new uses for the animal byproducts the plant produced. Before long, Armour was selling a wide range of products besides meat, from soap and glue to leather and brushes.

ELIMINATING THE COMPETITION Carnegie made his fortune building a single business. Some tycoons, such as banker **J. P. Morgan**, made theirs by taking over and merging other people's businesses. Morgan created holding companies—corporations that did nothing but buy out the stock of other companies. Morgan used his holding companies to gain control of the railroad, steel, and farm equipment industries. In 1901 he merged the Carnegie Steel Company and other steel companies to form the United States Steel Corporation. It was the world's largest business at the time. Morgan was known for his dedication to efficiency. Although he didn't build his own businesses, many believe that his consolidation methods made some mismanaged and inefficient companies better.

In another approach to mergers, **John D. Rockefeller** formed **trusts**. In a trust, competing companies put control of their businesses under a single

New Business Organizations

corporation	A business owned by investors who buy part of the company through shares of stock. Selling stock was a way for business owners to raise money to invest back into the company.
monopoly	A single seller of a product, good, or service. Without competition, a company that has a monopoly can raise prices higher or reduce the quality of its products lower than it otherwise might.
trust	Competing companies put control of their businesses under a single group of trustees—people who run the separate companies as one corporation. The trust can manage the companies without owning them.
pool	An arrangement whereby companies in the same industry divide up the businesses. Each takes a share of the market and agrees not to compete for a larger share.
holding company	A corporation that does nothing but buy out the stock of competing companies to strengthen their control over the market. Operates in much the same way as trusts.

BIOGRAPHY

John D. Rockefeller (1839–1937)

At the height of John Davison Rockefeller's power, an associate noted that he "always sees a little farther than the rest of us —and then he sees around the corner."

Rockefeller's father was a flashy peddler of phony cancer cures with a unique approach to raising children. "I cheat my boys every chance I get. . . I want to make 'em sharp," he boasted.

It seems that this approach succeeded with the oldest son, John D., who was sharp enough to land a job as an assistant bookkeeper at the age of 16. Rockefeller was very proud of his own son, who succeeded him in the family business. At the end of his life, Rockefeller referred not to his millions, but to John D. Jr. as "my greatest fortune."



group of trustees. The trustees run the separate companies as one large corporation. Rockefeller's company, Standard Oil, began as a refinery. He then acquired companies that supplied his business, buying barrel factories, oil fields, oil-storage facilities, pipelines, and railroad cars. These companies were all placed under the control of a trust agreement. This trust allowed Rockefeller to eventually gain total control of the oil industry in America. In 1870 his company processed about three percent of the country's crude oil. Within a decade, Standard Oil controlled 90 percent of the refining business. Businessmen in other industries followed Rockefeller's example. Trusts were formed in the sugar, cottonseed oil, and lead-mining industries.

Sometimes business owners in the same industry would pool their businesses to eliminate competition. The businesses would then be divided amongst the owners. Each owner would take a share of the market and fix prices, agreeing to not compete with the others in the pool.

FEWER CHOICES Carnegie, Morgan, and Rockefeller had achieved nearly complete **monopolies**, or complete control over an industry's production, wages, and prices. These monopolies meant that consumers had fewer choices in the marketplace. Without competition, a company that had a monopoly could raise prices on its products or lower quality much more freely than it otherwise might. Consumers either have to accept the company's price for its product or choose not to buy it. For example, Rockefeller drove his competitors out of business by selling his oil at a lower price than it cost to produce it. Then, when he controlled the market, he hiked prices far above original levels. The public had to pay the price because they couldn't buy oil from anyone else. Monopolies also meant that workers had fewer choices in the companies they could work for. If a company paid low wages, a worker could not easily find a better paying job.

A MIXED LEGACY Many Americans admired Carnegie, Morgan, Rockefeller, and other "captains of industry." They credited these entrepreneurs with using their business skills to make the American economy more productive and, in turn, stronger. Andrew Carnegie said that he and his fellow tycoons were "the bees that make the most honey, and contribute most to the hive even after they have gorged themselves full."

Reading Check
Summarize What strategies enabled big businesses to eliminate competition?

Carnegie and other wealthy industrialists felt they had a duty to put their fortunes towards the public good. While they generally opposed financial handouts, they supported philanthropy. In the name of Social Darwinism, they built libraries and funded colleges and other institutions. These institutions provided opportunities for the fittest to succeed, regardless of their financial background. Carnegie explained his philosophy in an 1889 article called "The Gospel of Wealth." He wrote, "This, then, is held to be the duty of the man of Wealth . . . to consider all surplus revenues which come to him simply as trust funds . . . to produce the most beneficial result for the community." Carnegie donated about 90 percent of the wealth he accumulated during his lifetime. His fortune still supports the arts and learning today. John D. Rockefeller gave away over \$500 million, establishing the Rockefeller Foundation. His foundation provided funds to found the University of Chicago and created a medical institute that helped find a cure for yellow fever.

Despite these charitable contributions, some Americans came to view industrialists more as robber barons than as revered "captains of industry." They believed that these tycoons were taking advantage of workers and consumers. Critics argued that these tycoons profited unfairly by squeezing out competitors and using other tough tactics. Their huge mansions and luxurious lifestyles seemed like ill-gotten rewards.

Government and Business

For a time, the government was content to allow the laissez-faire system to continue unregulated for fear of harming the economy. Industrialization was raising the standard of living, but income inequality was also increasing. Eventually, the government grew uneasy about the power of big corporations and stepped in to regulate some of the business practices of the industrialists.

GOVERNMENT REGULATION The government was concerned that expanding corporations would stifle free competition. In 1890 Congress passed the **Sherman Antitrust Act**, which made it illegal to form a trust that interfered with free trade between states or with other countries. It also prohibited monopolies and other activities that hindered competition.

Prosecuting companies under the Sherman Act was not easy. The act didn't clearly define terms such as trust. Also, if firms such as Standard Oil felt pressure from the government, they simply reorganized into single corporations. The Supreme Court threw out seven of the eight cases the federal government brought against trusts. Eventually, the government stopped trying to enforce the Sherman Act. The consolidation of businesses continued.

The Sherman Act was also unclear about whether it could outlaw monopolies in the *manufacturing* of a good, as well as in the trade of it. The question had to be decided in 1894 by the Supreme Court. In *United States v. E. C. Knight Co.*, the Court ruled that the government could not enforce the Sherman Act against the manufacturing operations of the E. C. Knight Company, which had control of 98 percent of the sugar refining industry. The decision meant that the Sherman Act could do little to stop most monopolies.

Document-Based Investigation Historical Source

"What a Funny Little Government!"

This 1900 cartoon—captioned "What a funny little government!"—is a commentary on the power of the Standard Oil empire. John D. Rockefeller holds the White House in his hand.

Analyze Historical Sources

What is the cartoonist suggesting by showing the White House in the hands of a tycoon like Rockefeller?



Reading Check
Draw Conclusions
Were the Sherman Antitrust Act and other government actions effective in responding to the challenges associated with rapid industrialization? Explain.

BUSINESS BOOM BYPASSES THE SOUTH Industrial growth concentrated in the North, where natural and urban resources were plentiful. In contrast, the South was still trying to recover from the Civil War. It was hindered by a lack of capital—money for investment. After the war, people were unwilling to invest in risky ventures. Northern businesses already owned 90 percent of the stock in the most profitable southern enterprise—the railroads—thereby keeping the South in a stranglehold. The South remained mostly agricultural, with farmers at the mercy of railroad rates. Entrepreneurs suffered not only from excessive transportation costs, but also from high tariffs on raw materials and imported goods, and from a lack of skilled workers. The post-Reconstruction South seemed to have no way out of economic stagnation. However, growth in forestry and mining, and in the tobacco, furniture, and textile industries, offered hope.

Lesson 3 Assessment

1. **Organize Information** Create a cause and effect chart. For each item in the "Cause" column, list some effects.

Cause	Effects
Laissez-faire capitalism	
Businesses consolidate through mergers	
Big businesses become very powerful	

2. **Key Terms and People** For each key term or person in this lesson, write a sentence explaining its significance.

3. **Evaluate** Do you think that the tycoons of the late 19th century are best described as ruthless robber barons or as effective captains of industry?

Think About:

- their management tactics and business strategies
- their contributions to the economy and society
- their attitude toward competition

4. **Compare** Compare Andrew Carnegie's business practices to the philosophy of Social Darwinism. Do they support or counter each other? Explain.

5. **Analyze Effects** How did new business structures such as corporations, pools, trusts, and holding companies lead to the growth of an industrialized economy? What was their impact on consumers and workers?

6. **Synthesize** How did economic factors limit industrialization in the South?